Finance and Economics Club
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M&A

MnAnalyse

Case Analysis Competition



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TEAM NAME : MECE & CHEESE | **TEAM LEADER : TANVEE SINGH**

Case Overview

Background

Employer-sponsored insurance is one of India's fastest-growing distribution channels — the workplace is often an employee's first real touchpoint with health insurance, giving Ditto a chance to reach customers earlier than its current direct model allows.

The Fit

DITTO		COVERGRID		TRUST + DISTRIBUTION
74 NPS Trust-first advisory Consumer education 88% policy renewal	+	**640 Employers** 5.8L employees & dependents 92% employer retention 42 NPS	=	**Ditto brings the trust. CoverGrid brings the door.**

The Ask

CoverGrid's shareholders have proposed non-binding terms: 30% equity in the combined entity + ₹25cr cash + founders retained for 3 years + brand kept for 18 months. Ditto's Board hasn't accepted these terms and wants alternatives evaluated.

The Decision

Determine whether Ditto should proceed, renegotiate, acquire a stake, partner, or walk away while balancing financial upside with risks to trust, customers, employees and culture.

Key Facts

₹149 Cr / ₹174 Cr Ditto/CoverGrid FY26 Revenue	**640** CoverGrid Employer Clients	**5.8 Lakh** Nearly Employees & Dependents
74 vs 42 Customer NPS - Ditto vs CoverGrid	**91% vs 68%** Employee Satisfaction - Ditto vs CoverGrid	**Nil vs ₹28 Cr** Debt - Ditto vs CoverGrid

Complementary Strengths

DITTO	COVERGRID
Trust-first advisory model, 74 NPS	640 employer relationships
Brand & educational content engine	5.8L employees & dependents
88% policy renewal rate	92% employer retention
Unbiased, long-term customer	Employer enrolment infrastructure

Our Recommendation

Year 1–2
STRATEGIC PARTNERSHIP
No upfront 30% equity transfer or ₹25 Cr cash consideration ,Ditto operates unchanged and CoverGrid supplies employer access.

End of Year 2
KPI VALIDATION
NPS, conversion, CAC & compliance checked against go/no-go targets.

Year 3+ (Conditional)
PHASED ACQUISITION
Majority stake, valued on proven performance rather than projections.

PARTNER FIRST. PROVE THE MODEL. ACQUIRE LATER.

The core problem: CoverGrid offers valuable employer distribution, but declining customer trust creates integration risk. A 30% equity commitment today would price in the distribution before Ditto has proven that the trust and cultural gap can be bridged.

Why Partner First

Protect Ditto's Trust
Keep Ditto's brand, advisory model and customer experience independent during the 2-year test.

Limit Upfront Risk
No ₹25 Cr cash or equity dilution before CoverGrid proves the value of its distribution.

Evidence over assumption
Use 2 years of real conversion, NPS, CAC and revenue data to inform the acquisition decision.

Preserve Optionality
At the end of Year 2, Ditto can acquire, extend or walk away based on results.

How the Partnership Works

Maintain Brand Independence
Ditto keeps running its brand, content, and advisory business exactly as it does today.

Unlock Employer Access
CoverGrid provides access to 640 employers through referrals and co-branded sessions.

Share Economics, Not Ownership
Share economics on converted customers. Ownership remains unchanged during the partnership.

Track Joint KPIs
Joint KPI dashboard tracks NPS, conversion, CAC and compliance in real time.

VERDICT: Enter a 2-year strategic partnership rather than an immediate equity merger. This gives Ditto access to CoverGrid's employer distribution while protecting its trust-first advisory model and avoiding upfront equity dilution and ₹25 Cr cash commitment. Track customer NPS, conversion, CAC, revenue, retention and compliance throughout the partnership. If predefined KPIs are achieved at the end of Year 2, proceed with a phased acquisition at a valuation informed by proven performance; otherwise, retain the option to extend or walk away.

Ditto Brings

Trust + Advisory

- NPS: 74 | Satisfaction: 91%
- Unbiased, customer-first insurance advisory
- Strong insurance education & personalised guidance
- 88% policy renewal

Trust × Reach

- **Opportunity:**

Reach employees at their first meaningful insurance touchpoint and educate them on gaps in employer-provided coverage.

- **Gap:**

CoverGrid has strong employer access but weaker employee trust & engagement
NPS: Ditto 42 vs Covergrid 74

- **Partnership thesis:**

Test whether Ditto can convert CoverGrid's employer relationships into deeper, long-term customer engagement before considering acquisition.

CoverGrid Brings

DISTRIBUTION + EMPLOYER SCALE

- 600+ employers | ~5.8L employees & dependents
- Employer-led insurance distribution
- 92% employer retention
- FY26: ₹174 Cr revenue | ₹16 Cr EBITDA

Strong complementary capabilities, but customer-trust and integration risks make a partnership a better first step than immediate M&A

Opportunity Funnel

EMPLOYER ACCESS
↓
EMPLOYEE ENGAGEMENT
↓
INSURANCE EDUCATION
↓
PERSONAL INSURANCE NEEDS
↓
LONG-TERM RELATIONSHIP

Opportunity Gap

CoverGrid's Gap	Ditto's Capability	Why It Matters
NPS: 42	NPS: 74, 91% satisfaction	Stronger trust can improve employee engagement
Limited engagement beyond enrolment	Continuous insurance education & advisory	Creates year-round customer relevance
Inconsistent service experience	Customer-first advisory model	Supports a more consistent customer journey
Employees may not understand gaps in employer cover	Insurance education & personalised guidance	Helps employees identify personal insurance needs
Employer-centric relationship	Strong consumer trust & retail relationships	Opportunity to build long-term employee relationships

Untapped Opportunity

- **~5.8L EMPLOYEES & DEPENDENTS**

Potential reach through CoverGrid's employer network, subject to consent and data-sharing constraints.

- **FROM TRANSACTIONAL → RELATIONAL**

Convert the annual employer-insurance touchpoint into a long-term insurance relationship through education, trust & advisory.

- **POTENTIAL VALUE CREATION**

Stronger employee engagement + personal health/term insurance opportunity + deeper long-term customer relationships.

The case explicitly says CoverGrid manages benefits for nearly 5.8 lakh employees and dependents and describes the opportunity to turn workplace insurance interactions into longer-term insurance relationships.

24-Month Strategic Partnership "Test Before Buy"

PHASE 1 | 0–6M - PILOT

- Lock baseline KPIs: NPS 42, retention 92%, cross-sell 0%
- Pilot top 50 employer accounts + quarterly NPS pulse
- Scale to 640 employers' instrument cross-sell touchpoints
- Month 12: Check KPI trajectory and no pricing reset

PHASE 2 | 6–18M - SCALE

- Steady-state advisory/claims integration & KPI tracking
- Pre-clearance with IRDAI + confirmatory Legal/Financial/Culture DD
- Third QBR: proactively address KPI shortfalls
- Month 24 gate: NPS 58+, retention ≥92%, cross-sell >8%, zero material flags

PHASE 3 | 18–24M - DECISION

- Gate cleared → valuation confirmation using pre-agreed formula
- Execute SPA + TSA to finalise Day 1 / Day 100 plan
- Months 18-24: Full technology/data integration
- Gate missed → Managed exit or 12-month extension hard walk-away triggers

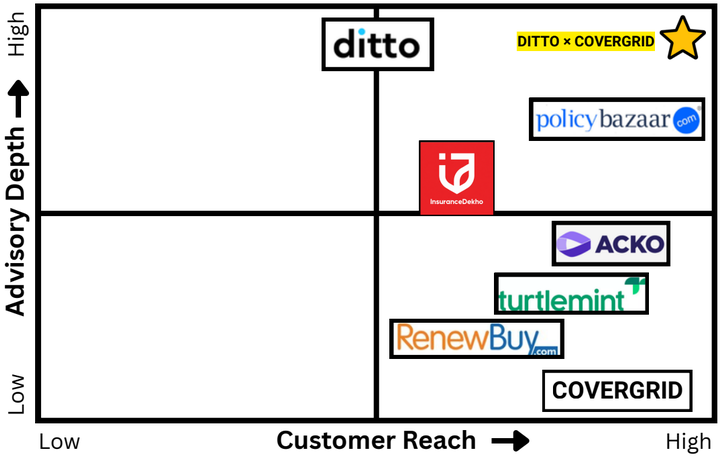
COMPETITOR LANDSCAPE

Category	Company	Main strength
Large digital aggregator	Policybazaar	Scale, brand, product comparison, reach
Direct consumer marketplace	InsuranceDekho	Multi-product comparison & purchase
Partner-led distribution	Turtlemint, RenewBuy	Agent, POSP & partner network
Digital-first insurer	Acko	Tech-led products, direct customer experience
Employee benefits / B2B	CoverGrid	Employer relationships, group health, enrolment & claims assistance

DITTO'S EDGE

- **High Trust**
- **Advisory-first insurance buying supported by trained advisors**
- **Educational content and a no-spam customer experience**

2. POSITIONING MATRIX



KEY THREATS TO DITTO

Scale Threat	Policy bazaar can outspend on marketing, tech and aquisition
Distribution Threat	Turtlemint and RenewBuy reach customers via large partner/agent networks
Product and Tech Threat	InsuranceDekho and Acko offer broader digital journeys and more product choice

3. COMPETITOR SCORECARD (High / Medium / Low)

Factor	Ditto	CoverGrid	Policybazaar	InsuranceDekho	Turtlemint	Acko
Advisory depth	High	N/A	Medium	Medium	Low medium	Low medium
Customer reach	Medium	Very High	Very high	High	High (partners)	High (digital)
Product breadth	Medium	Benefits-focused	High	High	High	Medium
Human assistance	High	High	Medium	Medium	Partner dependent	Medium
Brand trust	High (niche)	N/A	High (mass)	Medium-high	Medium	High
Scalability	Medium	N/A	Very high	High	High	High
Neutral recommendation	High	N/A	Medium	Medium	Low-medium	Low-medium

Ditto differentiates on advice & trust while larger players compete on reach & scale.

Proceed on Proposed Terms (30% equity + ₹25cr cash)

Rejected due to asymmetric downside. Ditto commits substantial capital and ownership upfront despite an unvalidated turnaround. CoverGrid's NPS of 42 vs. Ditto's 74 and service-quality concerns indicate that the core issues are yet to be diagnosed and fixed. Paying the proposed consideration before establishing a proven improvement trajectory creates excessive execution risk.

Renegotiate Valuation/Structure

Rejected in its current form as insufficiently protective. A lower valuation alone does not address the underlying service, NPS and integration risks. Unless consideration is linked to measurable milestones or a validation period, Ditto could still assume significant operational risk before proving that CoverGrid's performance can be improved.

Acquire a Controlling Stake

Rejected due to premature integration risk. Control would allow Ditto to directly address CoverGrid's operational and service gaps, but it would also make Ditto responsible for fixing them immediately. This front-loads capital, integration complexity and execution risk before there is evidence that the turnaround is achievable.

Acquire Only a Minority Stake

Rejected due to insufficient control relative to the problem. A minority position provides financial exposure to CoverGrid's growth but does not give Ditto sufficient governance or operational authority to address the NPS and service-quality gaps. Ditto therefore bears execution and reputation risk without having the control required to fix the underlying issues.

Strategic Partnership Only (no equity, no acquisition path

Rejected as too limited to capture the opportunity. A partnership provides low-cost access to CoverGrid's employer network while limiting integration risk, but Ditto would forego ownership upside and strategic control. It also creates long-term dependency on a third party and leaves the employer channel vulnerable to competitive capture..

Walk Away Entirely

Rejected due to significant opportunity cost. Walking away eliminates transaction and integration risk, but it also sacrifices access to CoverGrid's employer distribution channel and first-mover opportunity. Given the potential scale of the channel, abandoning the opportunity could allow competitors to establish relationships that become difficult to displace later.

Value Creation Gate (24-Month)

CUSTOMER TRUST
NPS>58

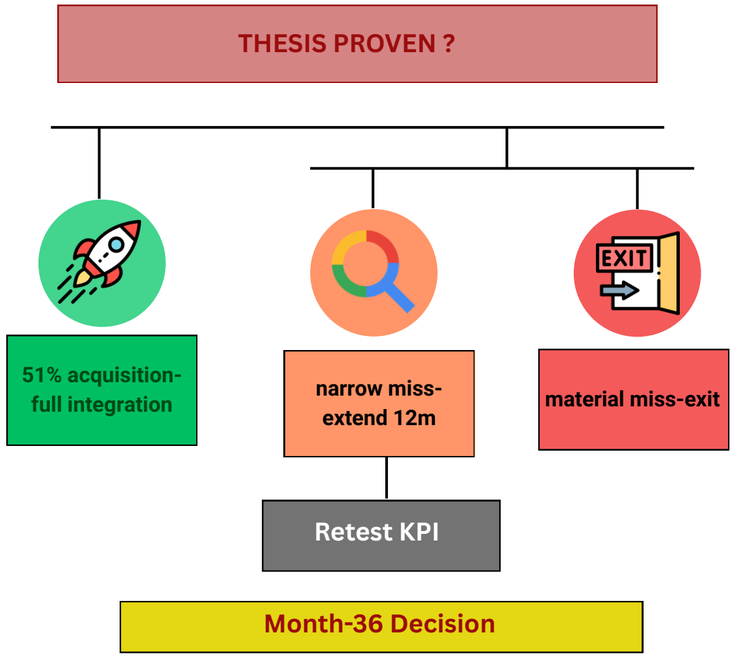
EMPLOYER STICKINESS
RETENTION >92%

REVENUE SYNERGY
CROSS-SELL>8%

REGULATORY
ZERO MATERIAL IRDAI

FINANCIAL VALUE
REVENUE SYNERGY RUN RATE VS PLAN

Decision Tree (After 24-Month)



Six Strategic Alternatives

ALTERNATIVES	SPEED	RISK	CONTROL	UPSIDE
PROPOSED TERMS	HIGH	HIGH	HIGH	HIGH
RENEGOTIATE	HIGH	HIGH	HIGH	HIGH
CONTROLLING STAKE	MEDIUM	HIGH	HIGH	HIGH
MINORITY STAKE	MEDIUM	MEDIUM	LOW	MEDIUM
PARTNERSHIP ONLY	HIGH	LOW	LOW	LOW
WALK AWAY	HIGH	LOW	NONE	NONE

Why Partnership -----> Acquisition Win

- REDUCES UPFRONT RISK, INCREASES CERTAINITY
- PROVES SYNERGIES WITH REAL DATA
- ALIGNS INCENTIVES BEFORE CAPITAL DEPLOY
- MAXIMIZE LONG -TERM VALUE CREATION

ACCESS-->VALIDATE-->DE-RISK-->ACQUIRE
DISCIPLINED.DATA -BACKED.
VALUE ACCRETIVE.

RECOMMENDATION Partner with CoverGrid for 24 months, validate performance through objective KPIs, and acquire only if the investment case is proven

WHY PARTNERSHIP FIRST?



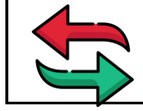
Access to the employer channel

640 employers and 5.8L covered lives+dependents provide a ready distribution base.



Low upfront capital exposure

Test the employer-channel thesis before committing acquisition capital.



Reversibility

Preserve optionality if service, culture or regulatory fit deteriorates.

EXECUTION PATHWAY

PARTNER



Structured commercial partnership.

VALIDATE



Track 5 strategic and financial KPIs over 24 months.

DECIDE



GO / EXTEND / EXIT based on KPI performance.

ACQUIRE



51% ownership if acquisition gates are cleared.

INTEGRATE



Post acquisition Day 1 → Day 100 → Full integration.

TEST CHANNEL → PROVE THE SYNERGIES → DEPLOY CAPITAL ONLY WHEN VALUE IS PROVEN.

DOWNSIDE PROTECTION



Pre-agreed valuation mechanism

Limits valuation uncertainty.



Exit / Put rights

Protect Ditto through objective failure triggers.



Narrow miss → 12-month extension

Provides flexibility to course-correct.



Material miss → Exit / Put

Protects Ditto from prolonged downside.

MONTH 24 DESCISON GATE

GO

1.All critical KPIs met
2.Valuation confirmation
3. Acquire 51%

EXTEND

Narrow miss →negotiated 12-month extension

EXIT

Material miss → Exit / Put rights

5 PROPOSED ACQUISITION GATE





REVENUE SYNERGY Revenue synergy validation



NPS >58 Customer experience



EMPLOYER RETENTION>92% Channel durability



CROSS SELL >8% Revenue synergy validation



REGULATORY 0 material IRDAI / mis-selling flags Compliance & reputation

CREATE VALUE WITHOUT LOCKING IN RISK: TEST THE CHANNEL, BUILD THE EVIDENCE, AND LET PERFORMANCE DETERMINE THE OWNERSHIP DECISION.

JOINT GOVERNENCE



NPS MONITORING



SYNERGY TRACKING



EMPLOYER RETENTION TRACKING



MONTHLY KPI DASHBOARD



REGULATORY MONITORING

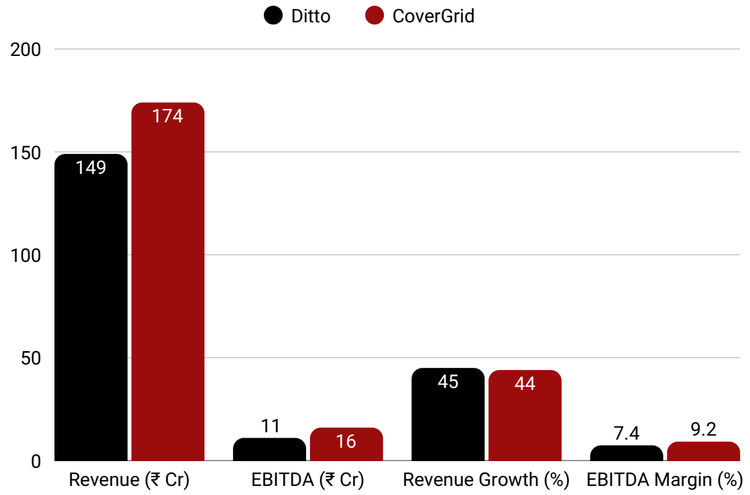


QUARTERLY BUSINESS REVIEWS

STANDALONE VALUATION

DITTO	COVERGIRD
₹149 CR REVENUE ₹11 CR EBITDA	₹174 CR REVENUE ₹16 CR EBITDA
Revenue-based: ₹444–495 Cr*	Revenue-based: ₹456–515 Cr
BASE: ~₹470 CR	BASE: ~₹485 CR

DITTO VS. COVERGRID



VALUE SCALE

₹25Cr	₹485Cr	₹843Cr
Cash at risk	CoverGrid base valuation	Illustrative FY28 value

DEAL ECONOMICS

30% ENTITY EQUITY — ₹133–149 CR

₹25 CR UPFRONT CASH — ₹25CR

→ ~₹171 CR BASE CONSIDERATION

LIQUIDITY IMPACT

₹42 CR cash in bank

-25 CR

₹17 CR remaining after deal

59.9% of available cash liquified

2.3X OF EBIDTA

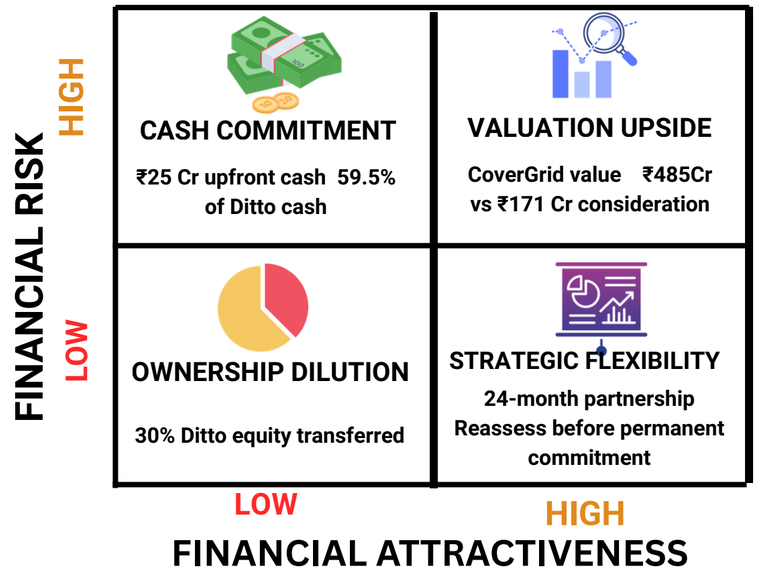
FUTURE VALUE OF 30% COMBINED STAKE

The 30% stake given away today (~₹141 Cr) could be worth ~₹297 Cr in 2 years under a 45% CAGR scenario.

KEY FINANCIAL TAKEAWAYS

1 | **VALUE** :₹485Cr modeled CoverGrid value vs. ~₹171 Cr base consideration.
2 | **COST** :₹25 Cr upfront cash + 30% Ditto equity creates meaningful liquidity and long-term dilution.
3 | **UPSIDE** :Illustrative CoverGrid value reaches ~₹843 Cr by FY28

DEAL ATTRACTIVENESS



FORWARD VALUE POTENTIAL-COVERGRID

Scenario	Revenue CAGR	FY28 Revenue (₹ Cr)	Implied Value (₹ Cr)
Downside	20%	251	720
Base	30%	294	843
Upside	44%	361	1036

COVERGRID

- 5.8L covered lives
- 640 employer relationships
- Existing B2B insurance distribution

DITTO

- Retail insurance expertise
- Cross-sell & advisory engine
- Customer Trust

VALUE CREATION

- Convert B2B reach into B2C demand
- Cross-sell personal insurance to existing lives
- Increase revenue per customer

KEY ASSUMPTIONS

- 7% base conversion rate
- ₹12.5K average premium
- 12% blended revenue rate
- 3% cost synergy benchmark
- All figures are illustrative estimates based on stated assumptions and external benchmarks not guaranteed outcomes.

REVENUE SYNERGY

Cross-sell, upsell and renewals create the primary value driver.

Formula= Covered Lives × Conversion Rate × Average Premium × Revenue Rate

5.8L Covered Lives × 7% Conversion Rate × 12.5K Avg Premium × 12% Revenue rate

₹6.09 CR

base case annual potential revenue synergy

₹4.35Cr	₹6.09Cr	₹8.7Cr
5 % (Downside)	7% (Base)	10 % (upside)

COST SYNERGY

Technology, marketing and operations create selective efficiency gains

Formula
CoverGrid Revenue × Cost Synergy Benchmark

₹174 CR Covered Lives × 3% Conversion Rate

₹5.22 CR

potential annual cost synergy

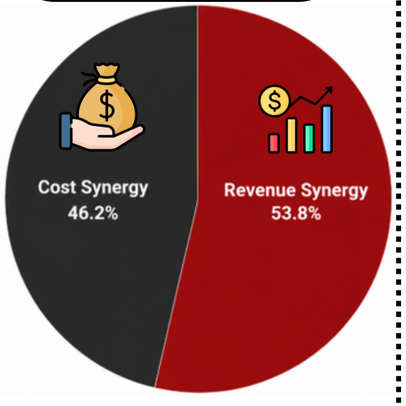
STRATEGIC SYNERGY

Creates long-term strategic value through stronger targeting, trust and distribution reach.
Value: Unquantified

- DISTRIBUTION + TRUST → REVENUE & COST SYNERGIES
- CROSS-SELL + SHARED OPERATIONS CREATE ₹11.31 CR ILLUSTRATIVE ANNUAL SYNERGY.

Value is realised only if conversion, integration & execution targets are met

SYNERGY MIX



SYNERGY MATRIX

VALUE POTENTIAL: HIGH / LOW
EASE OF REALIZATION: LOW / HIGH

CROSS-SELL Converts existing covered lives into incremental retail insurance revenue.	**DATA + DISTRIBUTION** Builds long-term targeting power and a defensible distribution moat.
BRAND Stronger B2B + B2C positioning and Increased trust	**TECH + OPERATIONS** Reduces duplicated systems and processes to deliver quick efficiency gains.

VALUE BRIDGE

EXISTING ASSET
5.8L covered lives - a ready pool for insurance cross-sell

PARTNERSHIP LEVER
Ditto converts CoverGrid's existing reach through retail expertise and shared capabilities

VALUE GENERATED
Revenue and cost synergies create a ₹11.31 Cr base pool

STRATEGIC UPSIDE
Data, brand and distribution strengthen long-term partnership value.

₹6.09 CR
REVENUE SYNERGY
Monetizes the 5.8L covered-life pool

+

₹5.22 CR
COST SYNERGY
Captures efficiency of shared tech, marketing and operations

=

₹11.31 CR
TOTAL QUANTIFIED SYNERGY
Combines revenue growth and cost efficiency into the base-case value pool.

3-Year Phased Roadmap

PHASE 0
DEAL STRUCTURING & SIGNING
DAY 0

PHASE 1
VALUE VALIDATION / "PROVE THE THESIS"
MONTHS 0–12

PHASE 2
SCALE & DE-RISK / "PREPARE FOR DECISION"
MONTHS 12–24

PHASE 3
VALUE REALIZATION / "CLOSE OR EXIT"
MONTHS 24–36

Phase-Wise Approach

PARTNERSHIP
DAY 0
Option architecture + governance

PROVE
MONTHS 0–12
Pilot → scale → synergy capture

DE-RISK
MONTHS 12–24
Steady-state + DD + regulatory prep

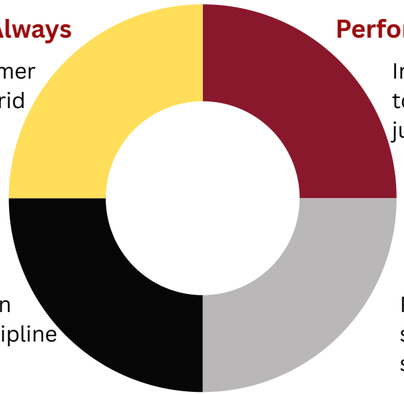
DECIDE
MONTH 24
Formal stage-gate review

CLOSE / EXIT
MONTHS 24–36
Acquire controlling stake or managed exit

Guiding Principles

Partner First, Always
Ditto owns customer trust and CoverGrid provides access.

Performance Linked
Incentives aligned to outcomes, not just activity.



Option to Extend or Exit
Month 24 decision gate ensures discipline and optionality.

De-risk Before Scale
Prove value on a small base before scaling.

Month 24 Decision Gate

MONTH 24
FORMAL DECISION GATE

KPI thresholds certified + valuation mechanism ready + regulatory clearance

GO
51% acquisition → valuation confirmation → SPA → integration

NO-GO / EXTEND
Managed exit via pre-agreed put OR 12-month extension

Proposed KPI Thresholds

NPS
42 → 58+

EMPLOYEE SATISFACTION
≥92%

COVERGRID PENETRATION
≥8% of CoverGrid base

COMPLIANCE & IRDAI
Zero material IRDAI

Governance Architecture

(APPLIES ACROSS ALL 3 YEARS)

Workstream	Owner	Cadence	North Star Metric
Commercial & Distribution	Ditto Head of Advisory	Bi-weekly	Cross-sell conversion rate
Customer Experience / Trust	Joint (Ditto CX + CoverGrid Ops)	Bi-weekly	NPS, claims TAT
People & Culture	CoverGrid CHRO	Monthly	Employee satisfaction, founder retention
Regulatory & Compliance	Joint General Counsel	Monthly	Zero material IRDAI findings
Finance & Value Tracking	Ditto CFO	Monthly	Revenue synergy run-rate vs. plan

RACI At Steering Committee Level

R — RESPONSIBLE: IMO workstream leads

A — ACCOUNTABLE: Steering Committee (joint)

C — CONSULTED: Independent third-party auditor (NPS/retention verification), regulatory counsel

I — INFORMED: Ditto Board, CoverGrid shareholders

The IMO is the single governance spine across all phases. The decision gate is separate from day-to-day execution.

COVERGRID CONTRIBUTES

- Employer relationships and employee access
- Distribution and platform capabilities
- Employer onboarding and partner management
- Employer and employee engagement infrastructure
- Scale and market reach

PARTNERSHIP INTEGRATION MODEL

Retain strengths → Connect shared interfaces → Unify customer ouutcomes

RETAIN
Preserve what makes each strong

CONNECT
Work together seamlessly

UNIFY
Deliver one customer outcome

DITTO CONTRIBUTES

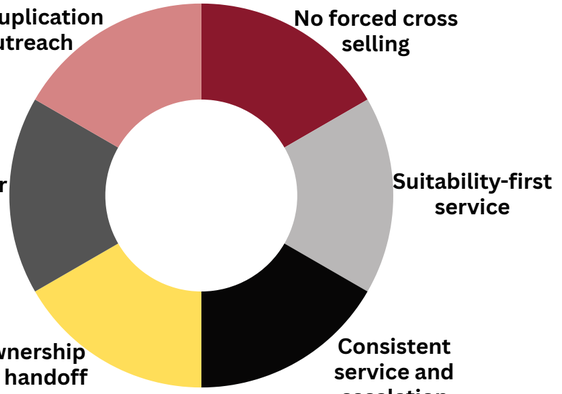
- Insurance expertise and advisory capability
- Customer education & suitability-focused recommendations
- Trust-led customer experience
- Policy guidance and customer support
- Product and insurance knowledge

SHARED INTERFACES → **CLEAR OWNERSHIP** → **ONE CONNECTED CUSTOMER EXPERIENCE** → **SCALE + TRUST**

CUSTOMER JOURNEY

Employer Access
↓
Employee need
↓
Insurance Education
↓
Ditto Advisory
↓
Purchase Decision
↓
Policy Servicing

CUSTOMER PROMISE



INTEGRATION ENABLERS

- Joint steering committee and integration lead
- Clear decision rights and process ownership
- Agreed commercial and revenue-sharing model
- Outcome-based incentives
- Employee communication and role clarity
- Training for shared workflows
- Coordinated mgmt. of employers, insurers, TPAs & vendors
- Consent-based & purpose-limited data access
- Common reporting: customer, financial, service, compliance

ORGANISATION-WISE COEXISTENCE MODEL

Area	CoverGrid Keeps	Ditto Keeps	Together
People	Employer & distribution teams	Advice & insurance teams	Work together where needed
Customer	Employer & employee access	Insurance guidance	Smooth customer handoffs
Advice	Distribution decisions	Insurance advice & recommendations	Clear decision ownership
Technology	Employer & platform technology	Customer & advisory technology	Connect systems and share needed data
Service	Employer onboarding & platform support	Policy support & customer help	Clear handoffs and common service standards
Brand	Scale & access	Trust & advice	Clear brand roles
Governance	Employer & platform rules	Insurance & advice rules	Shared rules, reporting & accountability

Illustrative User Persona

P1 | EARLY CAREER | 24–29



Aarav Sharma, 26
Software Engineer
2–3 years of work experience
Bengaluru

> *"My company already gives me health insurance, so do I really need another policy?"*

PROFILE
- Long workdays, digitally active
- First or second job, starting financial independence
- Relies on employer-provided health insurance
- Searches online more than speaks to an agent
- Sees insurance as a future need

PAIN POINTS
- Employer cover feels sufficient
- Doesn't understand coverage gaps
- Insurance feels complicated and low priority

DITTO OPPORTUNITY
- Simple "Is my employer cover enough?" assessment
- Short educational content
- Affordable personal health/term recommendations

P2 | FAMILY BUILDER | 30–40



Riya Mehta, 35
Senior Marketing Manager
Married , 1 Child
Mumbai

> *"My employer covers me, but what happens to my family if I change jobs or the cover isn't enough?"*

PROFILE
- Balances career, family and financial commitments
- Increasing responsibility for spouse, children, parents
- Employer policy is the starting point for insurance decisions
- Wants trusted advice rather than aggressive selling

PAIN POINTS
- Unsure whether employer cover is sufficient
- Doesn't know how much additional cover is needed
- Time-poor and distrustful of pushy agents

DITTO OPPORTUNITY
- Personalised coverage-gap analysis
- Family health + term insurance recommendations
- Advisor-led, no-pressure consultation

P3 | PRE-RETIREMENT | 45–55



Sanjay Iyer, 50
Senior Operations Manager
Married
Chennai

> *"My biggest concern is what happens to my insurance once I retire."*

PROFILE
- Established career with higher responsibilities
- Increasing focus on health, retirement & family security
- Employer insurance is an important safety net
- Values human advice and long-term relationships

PAIN POINTS
- Employer cover may end or change at retirement
- Worried about rising health costs
- Doesn't know how to plan coverage beyond employment

DITTO OPPORTUNITY
- Retirement-transition insurance planning
- Personal health/term coverage
- Phone/video advisory with a trusted expert

Customer Journey Map

	1. EMPLOYER TOUCHPOINT CoverGrid opens the door	2. AWARENESS Employee understands the gap	3. ADVISORY Ditto builds trust	4. CONVERSION Employee takes action	5. LOYALTY Long-term relationship
WHAT HAPPENS	• HR communication • Annual enrolment • Benefits portal • Employee wellness session	• Learns about exclusions/limits • Compares employer cover with personal needs • Sees Ditto content or co-branded communication	• Coverage-gap assessment • 1:1 expert consultation • Personalised health/term recommendations • No-pressure comparison	• Personal health insurance • Top-up / Super top-up • Term insurance • Family coverage	• Policy renewal • Additional products • Family referrals • NPS / advocacy
EMPLOYEE THOUGHT	**Employee thought:** "What exactly does my company cover?"	**Employee thought:** "Maybe my employer cover isn't enough."	**Employee thought:** "Now I understand what I actually need."	**Employee thought:** "I know why I'm buying this policy."	**Employee thought:** "I'll come back to Ditto when my insurance needs change."
ROLE	CoverGrid Role: **Access**	Ditto Role: **Educate**	Ditto Role: **Advise**	Ditto Role: **Convert**	Ditto Role: **Retain & Grow**
SUCCESS METRIC	Employer Reach	Engagement	Advisory Conversion	Conversion Rate	Renewal + NPS + Cross-sell + Referral

COVERGRID OPENS THE DOOR → **DITTO** EARNS THE TRUST → **EMPLOYEE** BECOMES THE CUSTOMER

PARTNERSHIP PERFORMANCE

Employer Reach
- Employers engaged
- Employees reached

Engagement
- Event participation
- Content interactions

Advisory Conversion
- Consultations
- Conversion rate

CAC
- Customer acquisition cost via channel

NPS
- Customer satisfaction & trust score

Renewal
- Renewal rate
- Long-term retention

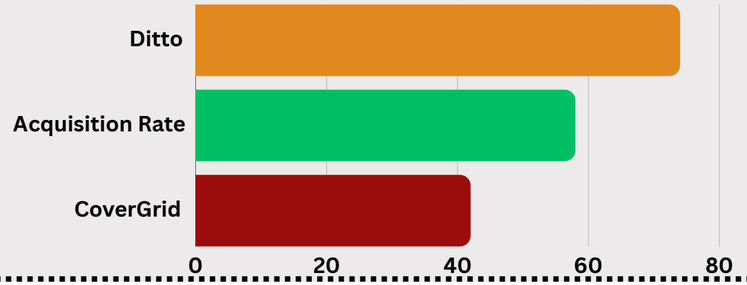
PARTNERSHIP-FIRST DE-RISKS THE CUSTOMER THESIS BEFORE ACQUISITION CAPITAL IS COMMITTED

PROVE TRUST → CONTROL RISK → PASS THE GATE → ACQUIRE

TRUST — THE GAP TO CLOSE

COVERGRID TODAY
NPS 42
LIMITED ENGAGEMENT BEYOND ENROLMENT

DITTO BRINGS
NPS 74 | 91% satisfaction
Customer-first advisory + Insurance education



TRUST THESIS

Convert employer touchpoints into a longer-term insurance relationship through education, trust & advisory.

VALUE THESIS

- Employer access → deeper customer relationship
- Deeper relationships → retention + cross-sell
- Proven economics → acquisition confidence

MONTH-24 VALUE CREATION GATE

CUSTOMER TRUST
NPS ≥58

EMPLOYER STICKINESS
RETENTION ≥92%

REVENUE SYNERGY
CROSS-SELL ≥8%

REGULATORY
ZERO MATERIAL FLAGS

FINANCIAL VALUE
SYNERGY RUN-RATE FLAGS | VS. PLAN

VALUE CONVERSION

REACH
Employer distribution
↓
ACTIVATE
Employee touchpoints
↓
DEEPEN
Advisory + education
↓
MONETIZE
Cross-sell + retention
↓
PROVE
Synergy + economics

RISK — WHAT MUST BE CONTROLLED

	HEADLINE	CONTENT
	ACCESS	640 employers — Use employer distribution to reach employees
	ENGAGE	Education + advisory — Deepen engagement through Ditto's trust-first model
	VALIDATE	NPS + retention + cross-sell — Track trust, stickiness and revenue synergy before capital
	GATE	GO / EXTEND / EXIT — Month-24 performance determines the ownership path

GO 51% ACQUIRE

NARROW MISS EXTEND 12M

MATERIAL MISS EXIT/PUT

RISK — WHAT MUST BE CONTROLLED

RISK	EXPOSURE	MITIGATION	KPI / CONTROL
Customer / Service	NPS gap: inconsistent service	Quarterly NPS + claims escalation	NPS / Claims TAT
Regulatory	IRDAI / mis-selling	IRDAI pre-clearance + compliance review	Zero material findings
Culture	Employee sentiment; founder retention	Culture DD + milestone-linked vesting	Satisfaction / retention
Financial / Execution	Scale before proof valuation risk	QBRs + pre-agreed option	Synergy vs. plan

- Partnership-first builds trust, controls risk, and proves value before acquisition.
- Employer access becomes lasting relationships through measurable trust, retention & cross-sell.

RISK CONTROL LOOP

ACCESS
- QUARTERLY NPS PULSE
- TEST CUSTOMER THESIS

→

SCALE / PROVE
- 640 EMPLOYERS
- TRACK NPS + RETENTION + CROSS-SELL
- QBR TRAJECTORY MONITORING

→

DECISION
- MONTH 24 GATE
- GO / EXTEND / EXIT

PHASE 0

Deal Structuring & Signing (Day 0)

Lock the option architecture; de-risk the value thesis before committing capital.

- Entry stake: 15–20% minority equity w/ anti-dilution
- Upfront: ₹15–18cr (vs. CoverGrid's ₹25cr + 30% ask)
- Exclusive Distribution & Advisory Agreement
- Real option: call/put, floor-and-cap formula

PHASE 1

Value Validation — "Prove the Thesis" (Months 0–12)

Convert the deal thesis into demonstrated run-rate value via a controlled pilot.

- Days 0–90: KPI baseline locked (NPS 42, retention 92%)
- Pilot cohort: top 50 employers by headcount
- M3–9: rollout to full 640-employer book
- M12: informal check — formula not renegotiated

PHASE 2

Scale & De-Risk — "Prepare for Decision" (Months 12–24)

Move from synergy validation to acquisition-readiness, so Month 24 is a confirmation.

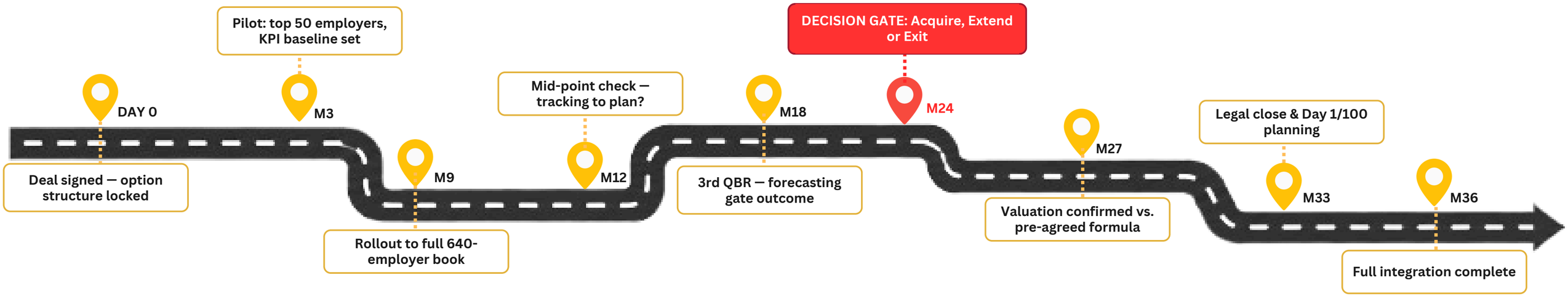
- M12–18: advisory/claims integration reaches steady-state
- IRDAI pre-clearance conversations start early
- Confirmatory DD begins quietly (legal, financial, culture)
- M18–22: 3rd QBR forecasts the gate outcome

PHASE 3

Value Realization — "Close or Exit" (Months 24–36)

Execute the decision: acquire & integrate, or exit / extend.

- Path A: valuation confirmed via pre-agreed formula
- M27–33: SPA + TSA; Day 1/100 plan; brand kept 18mo
- M33–36: tech/data integration begins; IMO stands down
- Path B: managed exit (put option) or 12-month extension



MONTH 24 — DECISION GATE

KPI	Threshold
CoverGrid NPS	42 → 58+
Employer retention	≥92%
Cross-sell conversion	≥8% of base
Regulatory	Zero material IRDAI flags

PATH A — GATE CLEARED → ACQUISITION

Valuation confirmation : ~₹485 Cr base case using revenue-multiple valuation; ~₹171 Cr total consideration under proposed terms.

Disney–Hulu lesson: without a pre-agreed formula, this exact dispute dragged into years. An independent valuator confirms the multiple sits within the pre-agreed floor/cap band — by design.

- Definitive SPA executed; TSA drafted for shared back-office cutover
- Day 1/100 plan: brand retained 18 months; comms sequenced (employees → clients → market)
- Tech/data integration begins post-close (Months 33–36)

PATH B — GATE MISSED → MANAGED EXIT OR EXTENSION

Materially missed (NPS <50, retention <85%):
clean exit via the pre-agreed put option — 6-month wind-down, no incremental capital, downside capped.

Narrowly missed (e.g. NPS 54 vs. 58 target):
12-month extension, re-based thresholds — pricing formula untouched.

HARD WALK-AWAY TRIGGERS (PRE-COMMITTED DAY 0)

- NPS flat/declining across 2 consecutive QBRs
- Retention breach below 85% at any review
- Material IRDAI/compliance finding
- Exclusivity breach by CoverGrid
- Founder attrition pre-gate

DITTO APP PROTOTYE

ditto

TRUSTED BY
5.8 LAKHS + LIVES

74 NPS
UNBIASED ALWAYS

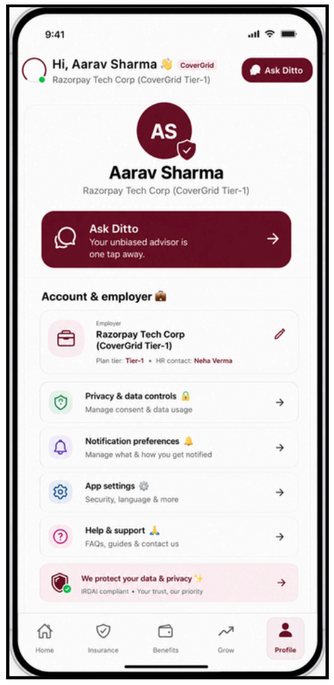
348+
EMPLOYERS ONBOAREDED

BUILDING FOR
LONG TERM VALUE

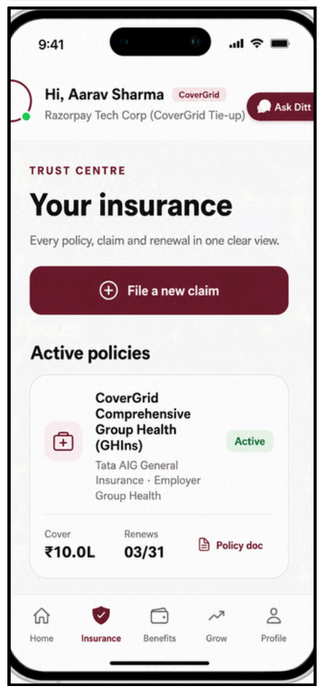
WELL BEING
FROM INSURANCE TO FINANCIAL WELLNESS

(illustrated Values)

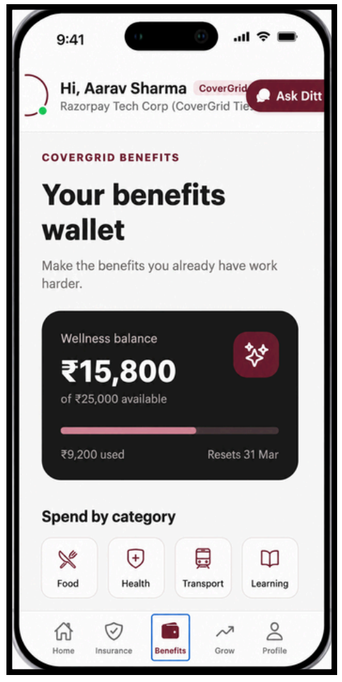
HOME



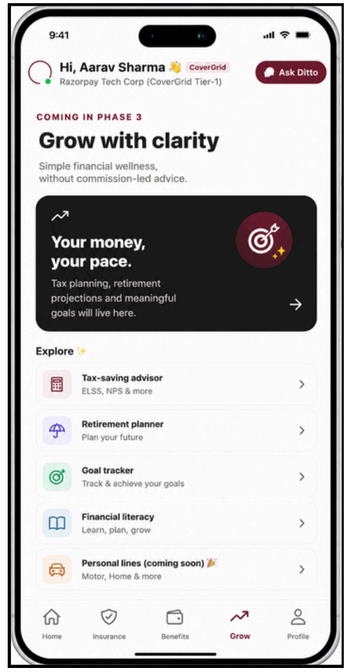
INSURANCE HUB



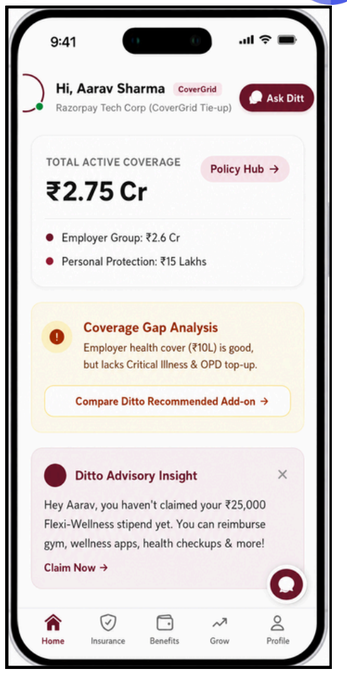
BENEFITS WALLET



GROW



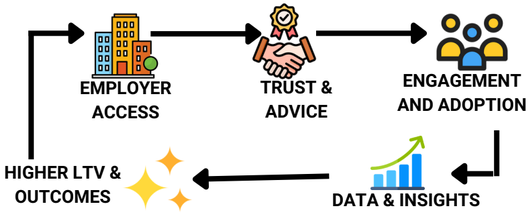
PROFILE



OUR EXPANSION JOURNEY



THE DITTO FLYWHEEL



WHY IT MATTERS

- ONE TRUSTED PLATFORM FOR ALL EMPLOYEES.
- HIGHER ENGAGEMENT THROUGH EVERYDAY VALUE .
- STRONGER RETENTION FOR EMPLOYERS
- BUILDING CATEGORY DEFINING FINANCIAL WELLNESS PLATFORM

EXPLORE OUR LIVE PROTOTYPE

EXPLORE DITTO IN ACTION- BUILT FOR EMPLOYEES, DESIGNED FOR THE FUTURE

EXPLORE LIVE PREVIEW OF OUR APP

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